50 LAC X 12 MONTHS (to make annual number) X 4 TIMES SALES VALUE = 24 CRORES

If they invest 5 cr, then they will grow their capital by 4-5X which might not appeal to some investors.

This is another important method of finding a company's valuation. Usually, investors will not be too bothered about all the calculation but only the final numbers, which both you and the investors should be comfortable with. It is important to remember not to stretch the valuation as that would be counter productive for the investors too.

This method is called the VE method or exit method and is one of the common methods. However, if it is not suitable for all kinds of businesses and there is room for a lot of subjectivity in this method.

F ks